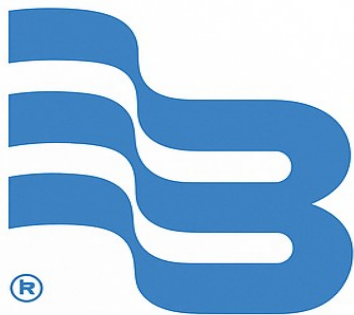




Badger Meter

Bender Trust

Analysts: Erdne Garyaev, Lekshey Tenzin, Ian Marquez, Marco Monte, Gabe Berkowitz

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Company Description



Company Overview

Who they are: Founded in 1905, Milwaukee-based Badger Meter is a global water technology company focused on flow measurement and smart water solutions for municipal and industrial customers

What they do: Designs and manufactures water meters, flow sensors, and water-quality instruments, paired with software/analytics platforms that give utilities real-time visibility into usage, leaks, and system performance

Customers: Primarily serves municipal water utilities, with additional exposure to industrial and commercial customers across North America and select international markets

Historical Growth

- **Sales have grown a lot:** Revenue rose from **\$426M in 2020** to **\$827M in 2024**, and is now around **\$900M+** in the last twelve months
- **Profits are rising:** EPS increased from **\$2.26 in 2022** to **\$3.14 in 2023** to **\$4.23 in 2024**, showing strong profit growth
- **Making more on each dollar of sales:** The company's profit margins are now close to 19–20%, meaning it keeps more profit from every dollar of revenue than before.
- **Strong dividend history:** Badger Meter has raised its dividend every year for over 30 years, including a recent increase to **\$1.60 per share per year**.
- **Big picture:** The company has steadily grown sales, profits, and dividends over time, showing it can grow in a **consistent, reliable way**

SWOT Analysis



Strengths

- Strong reputation for accuracy and reliability
- High customer retention through sticky systems
- Consistent margins and disciplined execution

Weaknesses

- Long project timelines slow revenue cycles
- Premium pricing can lose price-driven bids
- Limited international footprint

Opportunities

- Large upgrade cycle toward modernized systems
- Recurring revenue
- New markets in sensors and monitors

Threats

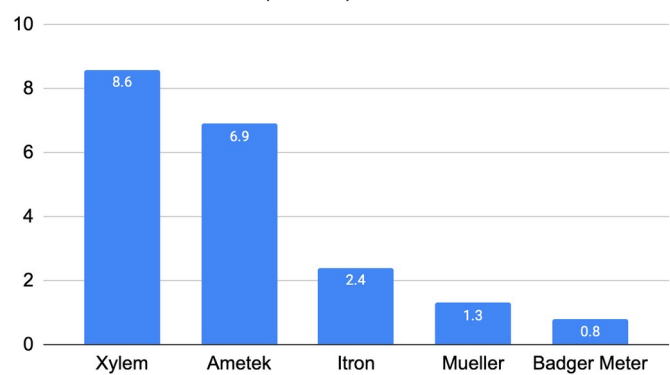
- Intense competition from established players
- Fast-moving technology landscape
- Component shortages and tariff volatility

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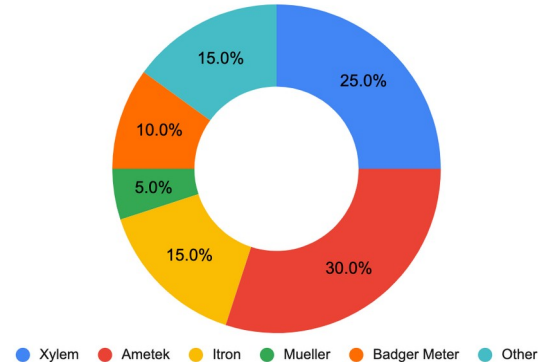
Industry Analysis

Competitio

Full Year 2024 Revenue (Billions)



Industrial Measurement & Instrumentation Market Share (2024)



Margin

As of Nov 20, 2025	BMI Badger Meter, Inc.	AME AMETEK, Inc.	XYL Xylem Inc.	ITRI Itron, Inc.
Operating Margin	19.93%	26.16%	13.85%	12.51%
Gross Margin	41.26%	36.18%	38.23%	36.30%
Profit Margin	15.40%	20.50%	10.66%	10.69%

Earnings

As of Nov 20, 2025	BMI Badger Meter, Inc.	AME AMETEK, Inc.	XYL Xylem Inc.	ITRI Itron, Inc.
Basic Earnings Per Share	4.72	6.36	3.90	5.67
EPS 1Yr Growth	10.19%	8.84%	4.49%	-17.06%

Equity Return

As of Nov 20, 2025	BMI Badger Meter, Inc.	AME AMETEK, Inc.	XYL Xylem Inc.	ITRI Itron, Inc.
Return on Assets	15.58%	9.49%	5.69%	7.28%
Return on Capital	20.71%	12.34%	7.49%	7.77%

Ownership

As of Nov 20, 2025	BMI Badger Meter, Inc.	AME AMETEK, Inc.	XYL Xylem Inc.	ITRI Itron, Inc.
Institutional Ownership %	102.23%	90.49%	95.85%	116.51%



Porter's Five Forces

01

Degree of Rivalry — **Medium to High**

- Several strong competitors with similar capabilities
- Contracts often decided through competitive bidding
- Differentiation comes from tech + reliability, not price

02

Threat of Substitutes — **Low**

- No alternatives that provide equal accuracy + automation
- Legacy options lack performance metrics and efficiency

03

Threat of New Entrants — **Low**

- High technical, regulatory, and certification barriers
- Large upfront investment required to compete
- Existing firms benefit from long customer relationships

04

Power of Suppliers — **Low to Medium**

- Multiple suppliers for most components
- Low switching costs for many materials
- Some pressure from electronics and chip availability

05

Power of Buyers — **Medium**

- Customers negotiate large, multi-year contracts
- Price sensitivity can tighten margins
- High switching costs keep customers for the long-term

Investment Thesis

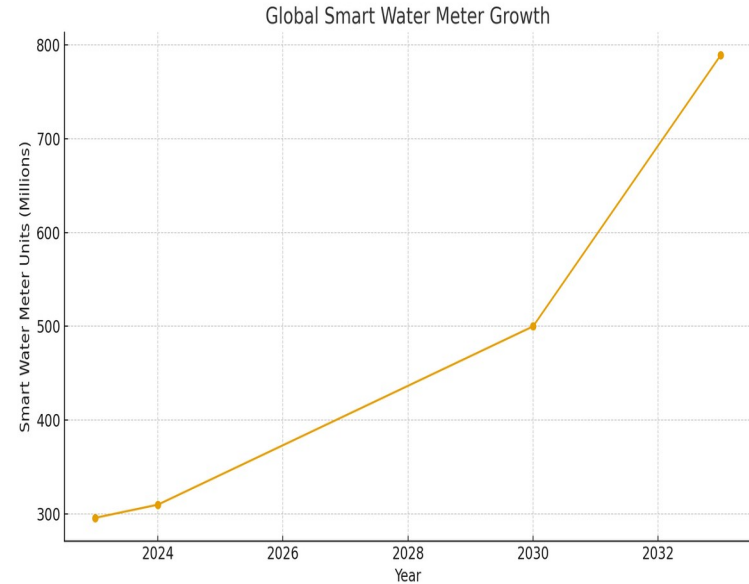
Badger Meter is a **BUY**

Due to its strong position in the growing smart-water technology market, consistent financial performance, and long-term demand from infrastructure modernization.

Smart Water Technology Shift

Transition to Smart-Water Technology and Analytics:

- Shift to **higher-margin** smart meters, sensors, and data analytics instead of older mechanical meters
- Creates more **recurring revenue** through real-time monitoring, leak detection, and usage analytics
- Utilities are **increasingly dependent** on these digital services to manage water systems
- Early leadership in smart-water technology gives BMI a **strong advantage** against competitors
- **Large growth opportunities** as more cities upgrade outdated water infrastructure



Strong and Consistent Growth

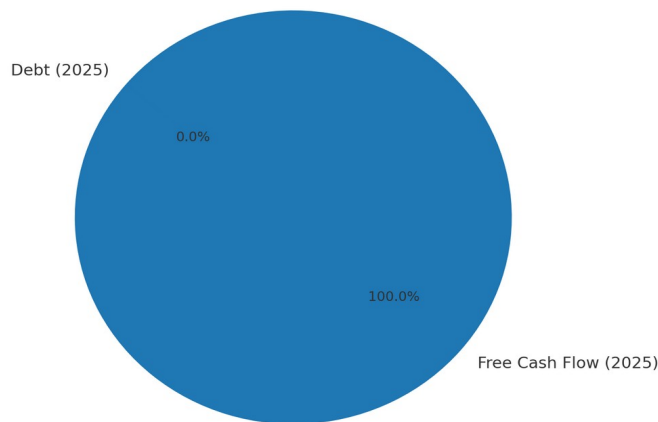
Strong Financial Performance

- **Double-digit** revenue and earnings growth
- **Expanding margins** as digital products grow
- Strong free cash flow and very low debt

Badger Meter Revenue Growth (2020-2025)



Badger Meter: Free Cash Flow vs Debt (2025)



Demand from Infrastructure Upgrades

Aging Water Systems Need Replacement

- Most U.S. water pipes and meters were installed decades ago and are reaching the end of their useful life, promoting the upgrade to smart water meters

Government Funding Support

- Federal programs like the Bipartisan Infrastructure Law and the EPA's State Revolving Funds provide billions for water infrastructure modernization

Long-Term Industry Tailwinds

- Modernization of Utilities = Increase demand for smart water tech. This directly benefits BMI's high-margin digital products





Risks & Mitigants

Economic & Funding Exposure

Risk: Municipal Budget Dependency

- Cities may **delay spending** when the economy slows or interest rates rise
- Elections and policy changes can **slow approvals**
- Project delays can cause **uneven sales** quarter to quarter

Mitigant: Strong Long Term Demand

- Aging water systems **need upgrades** regardless of economy
- **Federal programs** continue funding water projects
- Recurring revenue from SaaS platform helps **stabilize income** during slower hardware orders



Supply Chain & Cost Pressure

Risk: Rising Tariffs and Material Costs

- Relies on **globally sourced** metals and electronics
- **Tariffs and shortages** can increase costs and slow production
- **Trade policy shifts** may affect pricing and delivery timelines

Mitigant: Flexible and Resilient Supply Chain

- Uses **multiple suppliers** and builds safety inventory.
- Contracts help **lock in pricing** and reduce volatility.
- Maintains **strong margins** even during tariff increases



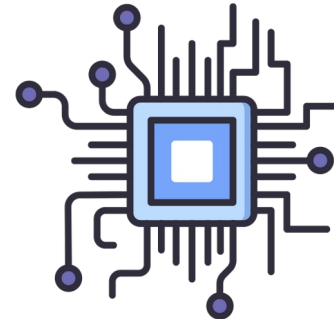
Competition & Technology Risk

Risk: Falling Behind Competitors

- **More companies** are entering the smart water market
- New digital tech **lowers barriers** and increases price pressure
- Could **lose contracts** or market share due to failure to innovate
- More software also means **higher cybersecurity risk**

Mitigant: Strong Innovation and Customer Lock-In

- Continuous R&D and patents **protect technology leadership**
- Once utilities install BMI systems, **switching is costly and unlikely**
- Full smart-water platform (meters, sensors, analytics) **differentiates BMI**
- Follows **strict cybersecurity standards** and holds cyber



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Financial Analysis

Income

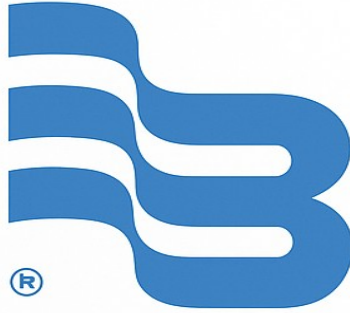
	2020A	2021A	Historical 2022A	2023A	2024A	2025E	2026E	Projected 2027E	2028E	2029E
Revenue	\$425,544.0	\$505,198.0	\$565,568.0	\$703,592.0	\$826,558.0	\$889,322.2	\$961,281.7	\$1,037,389.4	\$1,117,839.2	\$1,203,523.4
Cost of operations	257,295.0	299,714.0	345,598.0	427,154.0	497,374.0	\$536,758.61	\$579,985.29	\$627,997.06	\$675,423.87	\$726,502.51
Gross Profit	168,249.0	205,484.0	219,970.0	276,438.0	329,184.0	352,563.6	381,296.4	409,392.4	442,415.3	477,020.8
margin	39.54%	40.67%	38.89%	39.29%	39.83%	39.64%	39.67%	39.46%	39.58%	39.64%
Depreciation, amortization and depletion	25,216.0	27,862.0	26,241.0	28,110.0	32,185.0	42,633.2	43,907.1	45,417.5	48,354.6	52,856.6
Accretion	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Selling, general, and administrative	103,093.0	126,761.0	132,675.0	158,389.0	171,248.0	206,333.3	221,058.2	234,213.0	250,405.4	269,333.1
Adj. to withdraw liability for pension funds	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
(Gain) loss on business divestitures and impairments, net	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Restructuring charges	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
EBIT	39,940.0	50,861.0	61,054.0	89,939.0	125,751.0	103,597.1	116,331.1	129,761.8	143,655.3	154,831.2
margin	9.39%	10.07%	10.80%	12.78%	15.21%	11.65%	12.10%	12.51%	12.85%	12.86%
Interest expense	30.0	0.0	0.0	0.0	0.0	12.5	2.7	3.5	4.5	5.9
Loss from unconsolidated equity method investments	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Loss on extinguishment of debt	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Interest income	0.0	(20.0)	(552.0)	(4047.0)	(8613.0)	(8613.0)	(8613.0)	(8613.0)	(8613.0)	(8613.0)
Other income (expense), net	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
EBT	39,910.0	50,881.0	61,606.0	93,986.0	134,364.0	112,197.6	124,941.4	138,371.3	152,263.8	163,438.3
Provision for income taxes	8,381.1	10,685.0	12,937.3	19,737.1	28,216.4	23,561.5	26,237.7	29,058.0	31,975.4	34,322.1
Net Income	31,528.9	40,196.0	48,668.7	74,248.9	106,147.6	88,636.1	98,703.7	109,313.3	120,288.4	129,116.3
Attributable to non-controlling interest	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net Income attributable to Badger Meter, Inc.	31,528.9	40,196.0	48,668.7	74,248.9	106,147.6	88,636.1	98,703.7	109,313.3	120,288.4	129,116.3
margin	7.41%	7.96%	8.61%	10.55%	12.84%	9.97%	10.27%	10.54%	10.76%	10.73%
Depreciation & Amortization	25,216	27,862	26,241	28,110	32,185	42,633.2	43,907.1	45,417.5	48,354.6	52,856.6
EBITDA	65,156	78,723	87,295	118,049	157,936	146,230	160,238	175,179	192,010	207,688
margin	15.31%	15.58%	15.43%	16.78%	19.11%	16.44%	16.67%	16.89%	17.18%	17.26%
Earnings per share:										
Basic	1.69	2.08	2.26	3.14	4.23	3.00	3.34	3.70	4.07	4.37
Diluted	1.69	2.08	2.26	3.14	4.23	3.00	3.34	3.70	4.07	4.37
Shares Outstanding:										
Basic	29.23	29.34	29.38	29.46	29.53	29.53	29.53	29.53	29.53	29.53
Diluted	29.23	29.34	29.38	29.46	29.53	29.53	29.53	29.53	29.53	29.53
Forecast										
Cost of operations	60.46%	59.33%	61.11%	60.71%	60.17%	60.36%	60.33%	60.54%	60.42%	60.3

Revenue

	Historical Build					Projected				
	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E
Revenue	\$425,544.0	\$505,198.0	\$565,568.0	\$703,592.0	\$826,558.0	\$889,322.2	\$961,281.7	\$1,037,389.4	\$1,117,839.2	\$1,203,523.4
YoY Growth		18.72%	11.95%	24.40%	17.48%	7.59%	8.09%	7.92%	7.76%	7.67%
Municipal Water Meters & Endpoints	295,881.0	388,590.0	420,513.0	536,742.0	632,226.0	682,804.1	737,428.4	795,685.3	857,748.7	923,795.3
Flow Instrumentation (Industrial/Commercial)	85,109.0	96,463.0	102,212.0	118,590.0	132,249.0	142,167.7	152,545.9	163,376.7	174,813.0	186,875.1
Software & Analytics (BEACON SaaS)	44,554.0	42,145.0	42,843.0	48,382.0	56,977.0	63,244.5	70,201.4	77,221.5	84,171.4	91,746.9
Other	0.0	0.0	0.0	1,878.0	1,106.0	1,106.0	1,106.0	1,106.0	1,106.0	1,106.0
Total Product Revenue	425,544.0	505,198.0	565,568.0	703,592.0	826,558.0	889,322.2	961,281.7	1,037,389.4	1,117,839.2	1,203,523.4
Forecast										
Municipal Water Meters & Endpoints	-	31.3%	8.2%	27.6%	17.8%	8.0%	8.0%	7.9%	7.8%	7.7%
Flow Instrumentation (Industrial/Commercial)	-	13.3%	6.0%	16.0%	11.5%	7.5%	7.3%	7.1%	7.0%	6.9%
Software & Analytics (BEACON SaaS)	-	(5.4%)	1.7%	12.9%	17.8%	11.0%	11.0%	10.0%	9.0%	9.0%

Comp

Company	Ticker	Market Cap (\$MM)	EV (\$MM)	LTM		
				EV / EBITDA	EV / Revenue	P / E
Xylem Inc.	NYSE:XYL	36,270	37,220	21.0x	4.3x	27.8x
Itron Inc.	NYSE:ITRI	5,650	5,700	14.4x	2.3x	19.2x
Mueller Water Products	NYSE:MWA	4,050	4,160	14.8x	3.0x	18.5x
Ametek Inc.	NYSE:AME	42,990	44,310	19.9x	6.4x	24.4x
Badger Meter Inc.	NYSE:BMI	5,300	5,130	24.8x	5.9x	34.1x
Average				17.5x	4.0x	22.5x
Median				17.4x	3.6x	21.8x
High				21.0x	6.4x	27.8x
Low				14.4x	2.3x	18.5x



Badger Meter

Bender Trust

**Question
s?**